Although borrowing has become easy and convenient, it is useful to know how much it you can afford to repay comfortably. There are a few benchmarks that can help you develop better borrowing habits in managing debt

HOW EXPENSIVE A CAR CAN I BUY?

A car, unlike your house, depreciates in value the moment you buy it. It means the value of the car goes down from the moment you drive it out of the showroom. For instance, if you buy a car that costs Rs 8 lakh on road, after 3-4 years, its value even on moderate usage and good maintenance is likely to be half the cost at which you bought it

40-50% Of the annual income of the primary owner should be at most the cost of the car that you wish to buy. So, if your spouse needs to use the car more than you and earns Rs 20 lakh annually, the car you can buy should not cost you more than Rs 10 lakh

20-25%

Should be the down payment you make on the car you wish to buy, even though auto financiers encourage you to pay as low a down payment as possible

10-15%

Of your income should be the EMI you commit on the car loan and for tenure of four years or less

ting a good deal and landed up buying two other goods that I needed on zero per cent EMI," adds Shah. She is not alone. There are scores of men and women, many highly educated and qualified, who forget the fact that often such schemes make you buy things you do not need or buy them at prices beyond your budget. The lure of easy money makes all such purchases a very poor form of borrowing. All these schemes are too complex to understand for lay consumers.

Often, product manufacturers phase out models selling them through retail chains. If you try to ask for a discount on such items on the basis of paying upfront in full, retailers do not entertain such deals. Many products are not available on cash at all; they are available only on EMIs. And if you insist on paying it all upfront, they will agree to accept it including the additional processing fee that you don't need. Eventually, you may be lured into buying something more expensive than you had set out to buy.

NOT ALL DEBT IS BAD. SOMETIMES IT IS BENEFICIAL TO LEVERAGE THE POWER OF CREDIT TO REGAIN OVERALL SOUNDNESS IN FINANCIAL HEALTH

The regulator—in this case the Reserve Bank of India (RBI)—from time to time does step in and ask for greater transparency in pricing and the charges levied. However, such intervention occurs after such schemes have done their deed. By camouflaging the interest component by way of processing fee and passing the same to consumers is a common trick. In desperation for a sale, sales agents often reduce the processing fee to a miniscule sum just to meet their targets. In the larger scheme of things, the retailer, financier and the product manufacturer benefit; the complexity of all such deals is never visible to gullible consumers.

Yet another form of loan that is high-cost is an auto loan. Simply put, it's a loan used to buy an asset that depreciates. Financially speaking, it is like borrowing to support ongoing living expenses, which is not a wise move. When Tripathi was buying a car, he was clear about the model and range he could afford based on his needs and repayment capacity. The dealer tried influencing him to go for a higher-priced model, but he stuck to his guns. "I didn't want to pay more EMIs because I knew it would be beyond my budget," he explains.

A good form of debt should be able to help you accomplish your objectives. Education loans are probably the most common example of good debt after housing loan. Given the correlation between a college degree and higher earnings throughout your career, it makes sense to borrow to fund education. Taking a home loan is another common example of good debt because for most people, it's not possible to pay for a house outright. Paying home loan EMIs results in ownership of a home as well as potential tax advantages, which could make the cost of borrowing go down.

There are broad-based rules when it comes to borrowing (see *Borrowing Thumb Rules*). These can help you know how much you can ideally borrow and when not to go overboard with borrowing. The actual range for each of these indicators may vary from individual to individual and their earnings, financial situation, risk-taking ability and credit score. But, a benchmark is a good starting point to know how much you can afford to borrow.

↘ HOME LOAN AND TAX BENEFITS

To encourage home ownership, the government has allowed for tax concession on home loan repayments. The tax advantage can be claimed on both the interest and principal repayment each financial year within limits. Combining these two, a borrower can claim as much as Rs 3.5 lakh in tax savings in a financial year. The tax benefit on home loans can be used smartly to maximise savings, especially if the loan is taken jointly (see *Joint Loan, Greater Benefits*). This is one move